Northwind Reports Results for the Fourth Quarter and Full Year

Northwind. has released its financial results for the fourth quarter

and the full fiscal year ending September 5, 2023. Despite facing a challenging landscape in the memory and storage sector, the company has made notable progress in cost management, technology innovation, and product launches.

Strategic Developments and Market Position

James Harrington, President and CEO of Northwind , remarked on the

resilience and strategic direction of the company. "Throughout fiscal 2023, the memory and storage industry faced considerable challenges. Despite this, Northwind maintained its technological leadership, rolled out several cutting-edge products, and executed strategic initiatives to manage supply and costs," he said.
The company is well-positioned to capitalize on the anticipated market recovery in 2024,

driven by increasing demand and disciplined supply management. A significant portion of this demand is expected from Northwind's direct supply chain relationships within the AI hardware sector. Notably, AI chip designer Contoso Compute (CCMP) is a major

customer, acquiring Northwind's High-Bandwidth Memory (HBM) products for its advanced AI processors. As AI adoption expands from data centers to edge environments, Northwind anticipates record revenue for the total addressable market by 2025.

Financial Overview

Fourth Quarter Fiscal 2023 Highlights

Revenue: $5.21 billion, an increase from $4.88 billion in the previous quarter but a decline from $8.63 billion in the same quarter last year. Accounting Standards Net Loss: $1.86 billion, or $1.7 per diluted share. Non-Accounting Standards Net Loss: $1.53 billion, or $1.39 per diluted share. Operating Cash Flow: $323.7 million, up from $31.2 million in the previous quarter but significantly lower than $4.91 billion in the year-ago quarter.

Full-Year Fiscal 2023 Highlights

Revenue: $20.2 billion, down significantly from $39.99 billion in the prior fiscal year. Accounting Standards Net Loss: $7.58 billion, or $6.94 per diluted share. Non-Accounting Standards Net Loss: $6.32 billion, or $5.79 per diluted share.

Operating Cash Flow: $2.03 billion, a sharp decline from $19.73 billion in the previous year.

In the fourth quarter, Northwind invested $1.31 billion in net capital expenditures, totaling $9.11 billion for the year. Despite these investments, the company reported adjusted free cash flows of negative $985.4 million in Q4 2023 and negative $7.09 billion for the full fiscal year. However, Northwind ended the fiscal year with $13.68 billion in cash, marketable investments, and restricted cash.

On October 2, 2023, the Board of Directors declared a quarterly dividend of $0.15 per share, payable on October 30, 2023, to shareholders of record as of October 15, 2023.

Outlook and Market Recovery

Northwind also shared its guidance for the first quarter of fiscal 2024

during its October 2 earnings call. A live webcast of the discussion and subsequent replay can be accessed on the company's investor relations website.

Looking forward, James Harrington expressed optimism about the evolving market

landscape. With AI technologies gaining momentum across a broad spectrum of applications, Northwind foresees a robust recovery in the memory and storage industry, culminating in record-breaking total addressable market revenues by 2025.